

invest capital in the past 30 years. It is no wonder that all over the globe the players in the space have encountered tremendous pain and large numbers have ended up bankrupt.

Mittal started in 1976 with a single, small, nondescript steel mill in Indonesia. Despite having all the odds stacked against him, he ended up creating one of the largest and most profitable steel businesses on the planet. More important (for him), he ended up with a net worth over \$20 billion and growing. How did he do it? There is a simple one word explanation—Dhandho.

Take the example of the deal he created to take over the gigantic Karmet Steel Works in Kazakhstan.² The company had stopped paying its workforce because it was bleeding red ink and had no cash. The plant was on the verge of closure with its Soviet-era managers forced to barter steel for food for its workers. The Kazakh government was glad to hand Mr. Mittal the keys to the plant for nothing. Not only did Mr. Mittal retain the entire workforce and run the plant, he paid all the outstanding wages and within five years had turned it into a thriving business that was gushing cash. The workers and townsfolk literally worship Mittal as the person who saved their town from collapse.³

The same story was repeated with the Sidek Steel plant in Romania, and the Mexican government handed him the keys to the Sibalsa Mill for \$220 million in 1992. It had cost the Mexicans over \$2 billion to build the plant. Getting dollar bills at 10 cents—or less—is Dhandho on steroids. Mittal's approach has always been to get a dollar's worth of assets for far less than a dollar. And then he has applied his secret sauce of getting these monolith mills to run extremely efficiently.

The people who founded Google, Oracle, Cisco, and Intel were all very talented, but they also had huge tailwinds propelling their net worths into the stratosphere. They all focused on businesses with amazing economics and very high returns on invested capital. Amazingly, it is Mittal, facing massive headwinds, who has a higher net worth than all of them. The Dhandho framework helped him triumph over all but two members of the *Forbes* 400. And, as we learn before we're done, both the guys ahead of